NOTE 11 – INCOME TAXES

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities are as follows:

	As of December 31,	
Deferred tax assets:	2021	2020
Net operating loss carryovers	$ 5,815,866	$ 5,228,266
Marketable securities	15,720	15,650
Accrued expenses	46,604	78,600
Deferred tax assets, gross	5,878,190	5,322,516
Less: valuation allowance	(3,488,821)	(2,997,084)
Deferred tax assets, net	2,389,369	2,325,432
Deferred tax liabilities:		
Property and equipment	(5,098,256)	(5,034,319)
Deferred tax liabilities, net	$ (2,708,887)	$ (2,708,887)

The change in the Company's valuation allowance is as follows:

	For the Years Ended December 31,	
	2021	2020
Beginning of year	$ 2,997,084	$ 2,427,665
Increase in valuation allowance	491,737	569,419
End of year	$ 3,488,821	$ 2,997,084

NOTE 11 – INCOME TAXES (CONTINUED)

A reconciliation of the provision for income taxes with the amounts computed by applying the statutory federal income tax rate to income from operations before the provision for income taxes is as follows:

	For the Years Ended December 31,	
	2021	2020
U.S. federal statutory rate	(21.0)%	(21.0)%
State and foreign taxes	(3.8)%	(3.8)%
Permanent differences		
Non-deductible expenses	0%	2.0%
Valuation allowance	24.8%	22.8%
Effective income tax rate	0%	0%

The Company has net operating loss carryovers of approximately $23,451,072 for federal and state income tax purposes and net operating loss carryovers of $12,104,429 for Canadian provincial tax purposes which begin to expire in 2026. The ultimate realization of the net operating loss is dependent upon future taxable income, if any, of the Company.

Based on losses from inception, the Company determined that as of December 31, 2021 it is more likely than not that the Company will not realize benefits from the deferred tax assets. The Company will not record income tax benefits in the consolidated financial statements until it is determined that it is more likely than not that the Company will generate sufficient taxable income to realize the deferred income tax assets. As a result of the analysis, the Company determined that a valuation allowance against the deferred tax assets was required of $3,488,821 and $2,997,084 as of December 31, 2021 and 2020, respectively.

Internal Revenue Code (“IRC”) Section 382 imposes limitations on the use of net operating loss carryovers when the share ownership of one or more 5% shareholders (shareholders owning 5% or more of the Company’s outstanding capital stock) has increased on a cumulative basis over a period of three years by more than 50 percentage points. Management cannot control any ownership changes that occur. Accordingly, there is a risk of an ownership change beyond the control of the Company that could trigger a limitation of the use of the loss carryover. The Company has analyzed the issuances of common shares during the years ended December 31, 2021 and 2020 and does not believe such change of control occurred. If such ownership change under IRC section 382 had occurred, such change would substantially limit the Company’s ability to utilize its net operating loss carryforwards in the future.